

EXPLANATORY MEMORANDUM

1. CONTEXT OF THE PROPOSAL

• Reasons for and objectives of the proposal

The automotive value chain is a pillar of the EU economy, accounting for EUR 589.3 billion euro and 3.7% of total value added of Europe's GDP, and direct employment of 10.6 million Europeans¹.

In an increasingly unpredictable trade environment, maintaining a robust and competitive automotive industry is essential for safeguarding the EU's strategic autonomy and global economic standing.

The analysis provided by the recent high-level reports of Enrico Letta and Mario Draghi² puts the reduction of regulatory burdens and the simplification of EU legislation among the top priorities. While the existing regulatory framework brings predictability and helps to achieve our shared public policy objectives, it should, however, not put undue burden and costs on industry. Representatives from the EU's automotive industry have recently highlighted that a high number of legislations³ must be complied with by European vehicle manufacturers between now and 2030, resulting in up to 25% research & development costs in certain cases⁴.

In her political guidelines for the European Commission's 2024–2029⁵, President von der Leyen outlined a vision focused on sustainable prosperity and strengthening competitiveness across Europe, emphasising the need to make doing business faster and easier. This has been further outlined with the adoption of the Competitiveness Compass in January 2025⁶, followed by the Clean Industrial Deal in February 2025⁷ and the “A simpler and faster Europe” Communication on implementation and simplification⁸. A streamlined regulatory framework with reduced administrative burden was mentioned as one of the fundamental pillars of this new competitiveness roadmap.

¹ Figures based on Eurostat FIGARO data: <https://ec.europa.eu/eurostat/web/esa-supply-use-input-tables/information-data#figaro>

² The Draghi report on EU competitiveness https://commission.europa.eu/topics/competitiveness/draghi-report_en

³ ACEA proposal for simplified regulatory framework <https://www.acea.auto/publication/acea-proposal-for-simplified-regulatory-framework/>

⁴ ACEA policy paper EU regulatory framework for the decarbonisation of road transport <https://www.acea.auto/files/ACEA-policy-paper-EU-regulatory-framework-for-the-decarbonisation-of-road-transport.pdf>

⁵ Political Guidelines 2024-2029 https://commission.europa.eu/priorities-2024-2029_en

⁶ Communication from the Commission to the European Parliament, the European Council, the Council, the European Economic and Social Committee and the Committee of the Regions - A Competitiveness Compass for the EU COM(2025) 30 final <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A52025DC0030>

⁷ Communication from the Commission to the European Parliament, the Council, the European Economic and Social Committee and the Committee of the Regions: The Clean Industrial Deal: A joint roadmap for competitiveness and decarbonisation COM/2025/85 final <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A52025DC0085>

⁸ Communication from the Commission to the European Parliament, the Council, the European Economic and Social Committee and the Committee of the Regions: A simpler and faster Europe: Communication on implementation and simplification COM/2025/47 final <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=celex:52025DC0047>